

Contemporaneous meeting notes for use with other resources in preparation of draft minutes
MEMBERS – PERSONS appearing – BRIEF DESCRIPTION – DECISIONS. RSA 91-A:2.

The Claremont City Council held a meeting on Wednesday, June 19, 2024, in the Council Chambers of City Hall.

The meeting was called to order by Mayor Girard at 6:30 p.m.

Members of the Council present:

Ward I Councilor Andrew O’Hearne - Absent
Ward II Councilor Brian Zutter – Absent
Ward III Councilor Jonathan Hayden – arrived at 6:50 PM
Assistant Mayor Debora Matteau
At-Large Councilor Wayne Hemingway
At-Large Councilor William Limoges
At-Large Councilor Nicholas Koloski
Mayor Dale Girard

Also present:

Yoshi Manale, City Manager
Shawn Tanguay, Attorney
Nancy Bates, Finance Director
Stephen Hamilton, Assessor

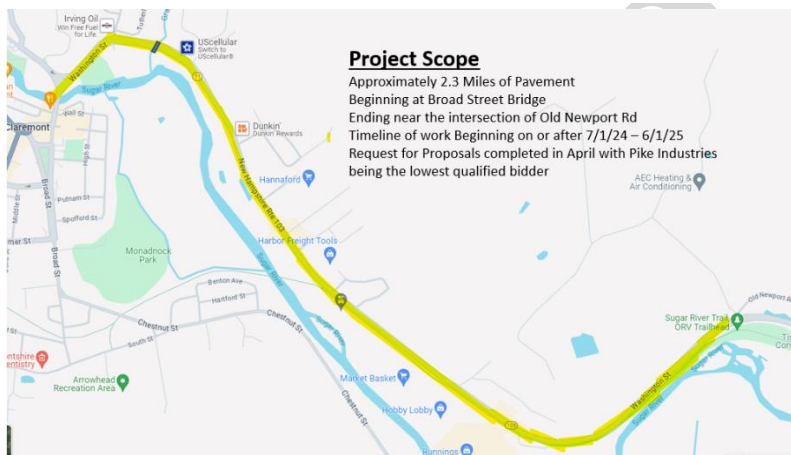
Special Assessment – Public Hearing

City Manager Manale thanked everyone for their attendance, and noted tonight was not about decision making but rather a presentation and to hear comments from the public. Manager Manale also noted the alternative actions for paving Washington Street would be bonding, or funding.

Director Gleeson started by sharing a PowerPoint Presentation to review the history of Washington Street, and then the scope of work for the project.

Washington Street Recent History

- Mid 1980's Road was widened to accommodate turn lanes
 - This was the estimated last time the full width of the road was paved
- August 2003 – Southside widening of Washington Street from North Street to Moody Avenue
- Most recent paving work – Small portions of travel lanes were done in 2017
- Pot-hole patching as needed annually

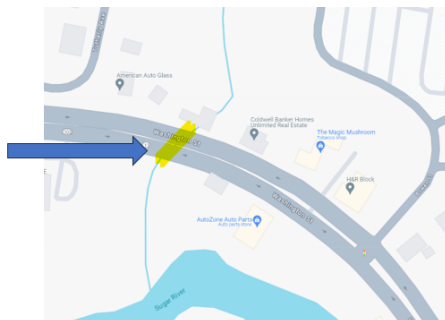


Scope of Work Continued

A small portion over the twin culverts will not be paved with this project to allow for future culvert repair when funding becomes available.

Homeland Security and Emergency Management (HSEM) Grant was just awarded recently to begin the RFP process for engineering and environmental / hydrolic studies on the culvert.

Once all of this planning is completed, the city will look for funding opportunities to complete the necessary work for the repair/replacement of the culverts.



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Scope of Work Continued

Structure Adjustments for manholes, valve boxes, and drainage catch basins as needed

Milling of approximately 71,000 square yards of existing asphalt surface

Roadway Sweeping

Application of Emulsified Tack Coat

Full width Shim coat applied at ½ inch with Hot Mix Asphalt (HMA)

Wearing Coarse 1.5 inches to add profile to the road

Business/Driveway aprons will be paved to the exterior side of the existing sidewalks

Line Painting

Scope Continued



Shoulder to Shoulder Paving & Line Striping



1. Road will be milled down 2 inches
2. ½ inch shim will be applied to smooth the imperfections
3. 1.5 Inch top will be applied on top of millings and shim with high strength asphalt (road will remain at its current height, but will be profiled better to maintain proper drainage)

Options for Financing Continued \$1,205,200

Bond

NHMBB JANUARY 2024 RATES		ANNUAL PAYMENTS	TOTAL INTEREST	TOTAL COST
5-Year	2.89%	\$260,609	\$ 97,844	\$1,303,044
10-Year	2.72%	138,466	179,456	1,384,656
15-Year	3.09%	101,008	309,928	1,515,127

Assumes semi-annual payments

Unreserved Fund Balance (Cash)

- City pays total amount of \$1,205,200

Rail Trail Improvement Area

(not included in Special Assessment)



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Rail Trail Improvements
Included in Request for Proposal
funded 100% by the City
\$41,230

The Rail Trail work will Bring the City's total to:

\$351,988.96 for **Option 1 (Special Assessment)** ***As seen in the spreadsheet handout***
\$351,810.04 for **Option 2 (Special Assessment)**

Addition of gravel

Approximately 835 tons of crushed ledge product

Fine Grading

Approximately 5,500 square yards of fine grading

Compaction

Approximately 5,500 square yards of compacting

Options for Financing
\$1,205,200

Special Assessment – Option # 1

Done solely on Number of Business Trips & Through Trips

City	\$310,758.96 (25.77%)
Property Owners	\$894,441.04 (74.23%)

Special Assessment – Option # 2

Done on Number of Trips by Assessed Value

City	\$310,580.04 (25.77%)
Property Owners	\$894,619.96 (74.23%)

Special Assessment Example

City of Lebanon

Hillcrest Special Benefits Project

- \$3 million for sewer replacement for 43 properties
- 50/50 % split between city and property owners, equal charge to each property
- 15-year assessment, added to bi-annual tax bill

Dartmouth Hitchcock Roundabout

- \$4.3 million for a new roundabout servicing the hospital
- \$1.3 million paid for by Dartmouth Hitchcock

Austin Ford, GIS Analyst, and Data Manager for Upper Valley Lake Sunapee Regional Planning Commission gave a presentation on the 2024 Traffic Data Study.

Mr. Ford noted a clarification on the estimated average daily trips, and stated this percentage share of traffic is not the number of customers, and a trip is defined as a vehicle starting and stopping.

Mayor Girard opened a public hearing, and asked those who spoke to state their name, and resident of.

Gary Troutier, resident of Claremont, and longtime friend of owner for Jaques Locks, had concerns of the microbusinesses, and that there were no thoughts for them. Mr. Troutier stated this was not a good way to do business, and asked the City to think about this as they decide who pays what, and also noted the City shouldn't include micro businesses.

Ian Gates, Ward 2- doesn't own a business in Claremont but does own outside of Claremont stated he analyzed the data supplied by the City and thinks there is a solution and then read a letter he handed out to council:

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Special Assessment Meeting – City of Claremont June 19th, 2024.

Good evening councilors – Ian Gates, Ward 2

Since the notice of this special assessment came out, and the notice for the change in ordinance needed for this tool away from petition and shifted to council I have spent quite some time thinking about it.

As a Claremont resident for nearly 20 years that cares for the community and the way that it is governed, I felt that it was necessary to go over the details of this proposal with a fine-tooth comb. As some of you know by now, I am very facts and logic based. Emotions rarely play a role in decisions for me.

At high level based upon what I knew of the recent assessments and the apparent “tax cuts” commercial properties all over the city, (and nationwide) were receiving I was initially in favor of this proposal. However, I decided to look at this as if I was one of you sitting behind the Council table to really truly understand the big picture and long-term effects. What I came up with may surprise some.

After studying the data there were a few points that popped out at me. Of the 61 properties in question:

1. All properties on the list increased in value, unlike what we have been led to believe.
2. If the assessment of a commercial property was 50% or higher – you saw an increase in your tax bill just like the majority of the residences here in Claremont saw. However, there were only 14 properties or 22.9% of the 61 properties that saw an assessment over 50%.
3. In fact the average assessment increase of the 61 properties was just 42% with the lowest single assessment at 11%.
4. This has led to an overall net loss in revenue to the City that had to be spread over the rest of the properties in Claremont to make up the difference of \$319,216.42 for the 2024 tax season.
5. This wasn't a tax “break” per say, but due to residential properties increasing in value at a much higher rate, the overall tax rate was cut this resulting in a lower tax bill for the 67.1% assessed less than 50%.
6. The City's proposal is to reassess these properties based on two different assessment types using a traffic study. The traffic study is pretty accurate, but doesn't allow for some anomalies. That study gives the City two different assessment numbers based on vehicle trips or assessed value of property.
7. The city proposes that these 61 properties come up with just shy of \$895k dollars compared to the \$319k of “lost” revenue. The full project is just over \$1.2 Million. The city is to cover the difference of about \$310k.
8. The alternative to this special assessment is to bond the project with a loan. Rates aren't super great right now, but they are ok. Bonding long term for pavement is a huge mistake as your investment deteriorates before you pay it off.

The sales pitch from the City to these properties is that it will benefit them greatly! How is a repaved road going to benefit them? Smoother ride to work? Ok sure, I'll give you that.

But, if you're being honest with yourselves, these businesses aren't suffering losses because of the road condition. Any losses they might be receiving is through online retailing.

The biggest benefactors of this re-surfacing will be residents of Claremont, and surrounding communities that utilize this road for patronage of the businesses located on it.

So, is it fair to these businesses no matter their size to ask them to pay for it? Bigger picture, will they have to cut a job to pay for it? Will they create local inflation by increasing prices to cover the cost? Quite possibly. Or worse?

Maybe it's the final straw and they close up shop.

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Pandora's Box -

I think the real scary part of this newly massaged tax tool is how this could be used in the future. What if we end up with a not so balanced council that is spend happy? Let's say Maple Avenue needs to be paved, and the budget just isn't there. The City Manager can then propose a special assessment, the council can approve despite their constituents not wanting it, and BOOM special tax increase for those residents. Seems like that is VERY similar to how NH funds education right? Those that live in a wealthier area will get nice shiny new roads, but those in a poor area might get paved every 30 years. It's not a tool I think should be used or considered. To me – it's a tool to enact further taxes on an already heavily taxed society instead of using other tools at your disposal.

Class 4 and 5 Roads Inside the Urban Compact

Class 4 roads are State Highways, and Class 5 are side streets apart from the State and Federal Highway system.

Some of the Claremont residents or I dare say MOST have no idea that Claremont receives an annual Highway Block Grant from the State of NH in the sum of approximately \$300k. This total fluctuates based on several factors per year. The total received for 2023 was \$325,932.51.

This sum comes from 12% of the State's gasoline tax and totals to about \$36 million annually, though that number fluctuates and has decreased steadily due to fuel efficiency increasing in today's vehicles.

The dollar figure uses several factors to determine the amount. Population, miles of road, etc.

This dollar amount is added to the General Fund and the State calculates our tax rate based on budget LESS that amount.

Conditions of the Roads and Paving Budget

Everyone's favorite topic! Why is it everyone's favorite? It's the most seen and tangible dollar spend the taxpayers see.

First off – the municipal budget has remained almost completely flat for the last five years despite huge inflationary pressures. This is an incredible feat, but it's also to the detriment of Claremont.

We have an estimated \$25M worth of repairs that need to be done to roads and sidewalks. We haven't had even close to \$1M budgeted annually in quite some time. At this rate, the City of Claremont will be in this same perpetual state as the roads we resurface now will decay in the next 25 years. It will be an endless cycle until the budget is increased.

My Proposal

Based on all the factors I have stated above, I believe I have come up with a hybrid solution to this problem that is fair and equitable to all, and has a better long-term solution moving forward.

The project is \$1,246,430.00

The City is to pay \$310,758.96 under current proposal.

Remainder: \$935,671.04

Increase the City's portion to \$345,000.

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Leaving a remainder of \$901,430.00

Bond this amount for THREE years only. Use the \$300k HBG annually to pay off the bond in 3 years.

Increase the current paving budget from \$755K (2023) to \$1.2M, a modest 445k increase.

The net cost to taxpayers for 3 years would be roughly 745k annually or \$2,235,000.00

Once the bond is paid off. In year 4 you can reduce the road budget by adding the \$300k in OR add it back into the road budget increasing it to an annual \$1.5M without increasing the tax rate.

The estimated tax rate effect for the full \$745k increase to the budget would be \$0.90 on the overall rate. Using the average property value of \$250k, this would equal to \$225.00 more per year, or \$18.75 per month. That's less than your premium Netflix account.

For a property like Wal-Mart for example at their current valuation of \$13,449,500 would increase their taxes by \$12,104 annually.

For the two properties quoted in the Valley News, Helie's and Avery's the cost increase would be \$333.81 and \$229.50 respectively. Vs. the current proposed \$1789 and \$1163.

You are effectively spreading the burden out to all properties in Claremont fairly and equitably, getting the project done ASAP with a very short-term loan that should be AAA rated and very little interest paid for the project. A 5-year municipal bond is 2.54% right now. Paid in 3 years, with 12 quarterly payments would result in very little interest.

At the end of the project and payment, you have the opportunity to DOUBLE the current paving budget^{right} to put Claremont on pace to try and catch up on neglect vs. a perpetual state of decay, all in less than 5 years.

I think this is a WIN – WIN for the City of Claremont and ALL of the residents and business owners.

Thank you all for your time on this matter, and I hope you take my proposal into serious consideration vs the current proposed solution.

Gary Roberts, Claremont resident and part time Helie's Carpet employee. Mr. Roberts questioned the car count, and asked if Pleasant Street got a special assessment when it was re-done. Mr. Roberts stated Helie's Carpet is also a micro-business.

Ron Menard, owns a place on Third St. asked what the cost of the Survey was. Manager Manale replied, \$6,000.00, Mr. Menard stated that should have been put into paving. Mr. Menard shared concern over the traffic count at eighteen trips, and stated the business usually has three customers daily, and noted little businesses can't handle this assessment.

Norm Blouin, Ward III, stated this is the craziest idea the City has come up with, and shared a concern for bankrupting businesses, and noted just because the state says it's okay to do a special

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assessment doesn't mean we should. Blouin also had concern for the roads deteriorating before the bond is paid off.

Luke Avery, of Avery Insurance stated receiving the assessment letter and wants to be clear as there are inconsistencies. Mr. Avery stated the business is on Parsons Ave, and stated the City should Think about how to grow the tax base instead of the special assessment.

Tony Crawford, owner of Circle T Car Wash, stated they are also a micro business with two and a half employees. Mr. Crawford stated the information in this letter is completely wrong with 290 trips per day and noted the business had only 58 today. Mr. Crawford shared concern for high taxes already, and this assessment was based on false information. Mr. Crawford also shared concern about doing a Special Assessment again for another road.

Andrea, Owner of Jaques Locks noted there are new businesses on Washington St that are not on this list. Mr. Ford shared that this data study was from June to May and there was no data from these businesses at the time of the study.

Mark Limoges, Ward III, Owner of several businesses and properties stated this would set a bad precedent on what could be held in the future, and other incoming businesses in Claremont.

Don Shebou, Town and Country Realty shared he did not think it was fair for owners of Washington St. properties to pay for this, and asked what happens when Maple Ave needs repair will the City do this again.

Chris Mitchell, Store Manager of Runnings stated the top executives at Runnings sent him on their behalf to state that the numbers in the letter are inaccurate and they are not a fan of the Special Assessment.

Richard Mitchalenoick shared concerned about setting the precedent in the future. Mr. Mitchalenoick gave the example of Chestnut St, and asked if that needed road repair will there be another assessment. Mr. Mitchalenoick stated the City has to get taxes under control.

Allen Whipple, Ward III, stated he was in support of fixing Washington St. but was opposed to do the Special Assessment without a vote.

Tom Hubert, stated he hopes the Council funds this differently and thinks the Special Assessment would set a bad precedent.

Mike Hurd- property owner on Washington St., thinks this will make a negative effect, and the City can't expect us to pay for the Special Assessment, and if they do Mr. Hurd suggested putting up a toll gate into the city.

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Mayor Girard closed the public hearing at 7:17 p.m.

Councilors thanked the public for coming to speak.

Mayor Girard stated he could not support a Special Assessment and noted everyone agrees Washington St needs to be addressed, but doesn't think this is the best way, and would rather look at the alternative options.

A motion was made by Assistant Mayor Matteau and seconded by Councilor Limoges to take the Special Assessment option off the table and direct the City Manager to bring other options.

Roll call:

Koloski – yes

Limoges - yes

Matteau – yes

Hemingway – yes

Hayden – yes

Girard – yes

Motion carried 6-0

ADJOURNMENT

At 7:30 p.m., a motion was made by Assistant Mayor Matteau and seconded by Councilor Koloski to adjourn.

Voice Vote:

Koloski – yes

Limoges - yes

Matteau – yes

Hemingway – yes

Hayden – yes

Girard – yes

Motion carried 6-0

Respectfully Submitted,

Julia A. Bizzarro
Clerk to the Council